

Although he exhibited a level of coding competence, Karpeles soon found himself out of his league when it came to business. He was not investing in his company's growth, and his coding expertise soon showed cracks as well. A more experienced technology shop would have implemented a test environment and version control software for its code, which was the backbone of Mt. Gox's operation. Karpeles didn't do either, and all code changes were routed through him directly, which created bottlenecks when changes were needed quickly.

While Karpeles may have been negligent in many facets of the Mt. Gox business, he did understand the difference between hot and cold storage of bitcoin. He put himself in charge of all the private keys for the bitcoin the exchange stored. After a hack in 2011, Karpeles decided to move the majority of bitcoin offline into cold storage, which required him to write down the private keys and place them in safety deposit boxes throughout Tokyo, where the company was located. This required a huge amount of paperwork and accounting, which was clearly not a strong point for Karpeles.²⁸ While the keys were in cold storage, Karpeles claims that a hacker manipulated him through a transaction malleability bug in the core Bitcoin software.²⁹ While Karpeles's claims have been called into question by many in the bitcoin community, there's no denying that the major reason for this hack was due to poor security hygiene with weak operational protocols put into place by the company for the movement of bitcoin. Such negligence cost investors \$450 million in bitcoin.